

Why Don't You Just Meet Me in the Middle: Intrahousehold Bargaining and Divorce Reform in Mexico

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1 Introduction

While previous research has documented how the liberalization of divorce laws affects a broad range of outcomes for women (e.g., divorce rates, intimate partner violence, labor force participation), including for those who remain married, identifying the causal link between the two typically requires making significant assumptions about the underlying mechanism at work. Rather than assuming that an outcome shows that women's bargaining power increased or decreased, I use a household bargaining model to derive testable predictions about how Mexico's adoption of no-fault unilateral divorce (NFUD) would affect intrahousehold resource shares across couples if power within the household had shifted, thereby converting the identifying assumption into a testable pattern.

Intrahousehold resource shares, defined as the share of total household spending on each member, are a leading metric of inequality within the household since they are based on a meaningful welfare outcome that is comparable across institutional contexts. Yet resource shares have been mostly used to describe intrahousehold inequality rather than to evaluate the effects of policy interventions (e.g., Calvi et al., 2023). However, Dunbar, Lewbel, & Pendakur (2013) show that allowing for an assumption that preferences for a private assignable good are similar across people allows resource shares to be recovered from a household demand system. I identify resource shares by implementing a linear version of this demand system derived by Lechene, Pendakur & Wolf (2022).

My paper makes three main contributions. First, it documents that the adoption of NFUD in Mexico reallocated household resources substantially toward children, with both adult shares declining and the children's share absorbing the difference. Second, it tests predictions of the limited-commitment intertemporal collective model using administrative divorce records to construct measures of each spouse's outside option. Third, this paper joins a small literature that estimates effects of policy on resource shares through linear Engel curves recovered via three-stage least squares, constructing each member's share as a ratio of slope coefficients rather than through nonlinear GMM.

2 Household Bargaining Model

The testable predictions for the effect of NFUD on resource shares are derived from the limited-commitment intertemporal collective model (LIC) described in Chiappori & Mazzocco (2017). This model posits that a change to a spouse's outside option can trigger a threat to leave a marriage which can be resolved through commitments to changes in the relationship. The model provides two testable predictions for the effect of a policy decreasing the cost of divorce: (a) marriages where a spouse is closest to invoking the threat to leave will be most affected, and (b) the spouse who threatens to leave will gain power to improve their situation within the marriage.

The adoption of NFUD affects the post-divorce outcomes for all married couples, but it is unlikely to affect bargaining over resource shares for the majority of marriages. The reform instead affects marriages where a partner is, prior to the reform, already somewhat indifferent between remaining married or getting divorced. Rather than testing whether unilateral divorce reform increases the bargaining power of a particular member of the household (husbands or wives) as a group, I predict that the reform benefits partners who have the greatest increase in the value of their outside option due to the reform since they are the ones who will be able to credibly threaten to leave the marriage. This means that it is crucial to identify which partner obtains the power to credibly threaten to leave in each couple. Otherwise, the change will be biased towards zero since any increase in women's bargaining power within some couples will be counterbalanced by an increase in men's bargaining power in others.

Table 1: Treatment Timing by State

State	Jure	Facto	Period	State	Jure	Facto	Period
Mexico City	2009	2008	1	Nayarit	2016	2015	5
Hidalgo	2012	2011	3	Nuevo León	2016	2017	5
Guerrero	2013	2012	3	Puebla	2017	2016	5
Mexico	2012	2012	3	Querétaro	2015	2016	5
Coahuila	2013	2013	4	Sonora	2015	2017	5
Chihuahua	–	2014	4	Tamaulipas	2016	2015	5
Quintana Roo	2018	2013	4	Tlaxcala	2017	2016	5
Sinaloa	2013	2013	4	Baja Calif. Sur	2018	2018	6
Yucatán	2014	2013	4	Chiapas	2017	2019	6
Aguascalientes	2015	2015	5	Durango	2018	2022	6
Campeche	2016	2022	5	Jalisco	2018	–	6
Colima	2017	2016	5	Oaxaca	2018	2017	6
Guanajuato	2016	–	5	San Luis Potosí	2018	2017	6
Michoacán	2017	2015	5	Veracruz	2017	2020	6
Morelos	2017	2016	5	Zacatecas	2018	2017	6
				Baja California	2019	2025	7
				Tabasco	2020	2023	7

Notes: Treatment is defined as the earlier of the de jure (“Jure”) and de facto (“Facto”) year, where the de facto year is the first in which no-fault unilateral divorce becomes the most common form of non-consensual divorce. Entries marked “–” indicate that the corresponding margin was never reached; for these states timing is determined by the other margin alone. The survey period maps the treatment year onto the biennial ENIGH panel: period 1 = 2008, 2 = 2010, 3 = 2012, 4 = 2014, 5 = 2016, 6 = 2018, 7 = 2020, where each period is the nearest survey wave on or after the treatment year. No state adopts in period 2, and Mexico City is always-treated over the 2008–2020 window. Cohort sizes are $n = 1, 3, 5, 13, 8, 2$ for periods 1, 3, 4, 5, 6, 7 respectively.

3 No Fault Unilateral Divorce in Mexico

The adoption of NFUD in Mexico in the period from 2008-2020 provides a useful context for testing these predictions. This is because the reform added an additional no-fault mechanism on top of an existing at-fault unilateral divorce (AFUD) option. In states where extended separation (typically between 6 months and two years) was an allowable reason for divorce, dissatisfied spouses seeking unilateral divorce had a path where they could obtain a divorce unilaterally by leaving their marital home (while still married) and filing for divorce at the end of the waiting period. However, during this waiting period they would not have access to any of the relief provided through divorce law including potential alimony, custody agreements and child support, division of marital assets, or the ability to remarry. By providing for a faster way to dissolve a marriage unilaterally, NFUD allowed spousal resources to be reallocated sooner, benefiting the spouse with fewer resources and allowing both to remarry.

I define a state as treated beginning in the first year in which no-fault unilateral divorce was either (i) legally available (de jure adoption) or (ii) the most common form of unilateral divorce filing (de facto). The outcome data are repeated cross-sections from a biennial household expenditure survey, so when mapping treatment timing into survey time each state’s adoption year is assigned to the first survey wave conducted with the reform in force.

4 Data Sources and Estimation Procedure

Three data sources are used for estimating the probability of AFUD filings and the identity of the filer: a 2010 Mexico census person-level sample obtained from IPUMS-International (census data), annual divorce-level filing data from the INEGI’s online statistical database (divorce data), and municipal-level statistics from the Sistema Nacional de Información Municipal (covariate data). I use these sources to generate three estimates for ENIGH sample households: (a) the probability of a married couple getting divorced, (b) the probability if a couple gets divorced that it is under one of three separation-based AFUD types, and (c) the probability if the divorce is one of these AFUD types that it is the husband/wife who files it.

To obtain the probability of AFUD occurring in a married ENIGH household, I evaluate the maximum of the product of (a) and (b) for each partner in the household. To obtain the relative likelihood of each

partner filing for divorce I take the value of (c) for the wife and normalize it by dividing it by the sum of (c) for both partners. I split households based on whether they lie above or below the median for each of these measures, resulting in four divorce groups: (1) Low Probability + Husband Likelier, (2) Low Probability + Wife Likelier, (3) High Probability + Husband Likelier, and (4) High Probability + Wife Likelier.

5 Estimating Resource Shares

The ENIGH is a household survey conducted by Mexico's National Institute of Statistics and Geography (INEGI) in every even-numbered year since 1992. This allows me to obtain the household's clothing budget shares, that is the fraction of household spending for men's, women's and children's clothing, as well as total household expenditure and income, the ages and education levels of household members, as well as their state and municipality of residence. I restrict my sample to households that include exactly two married adults (i.e., householder and their spouse) and any number of children of the householder under the age of 18. I also drop households in Mexico City since this group is treated for the entire period that I observe.

Following standard practice in the literature, I instrument expenditure with household income in a system of equations in three-stage least squares (3SLS).

6 Causal Inference Strategy

Since states adopted no-fault unilateral divorce at different times between 2008 and 2020, and because treatment effects may vary both across adoption cohorts and over time since adoption, I estimate group-time average treatment effects rather than a two-way fixed effects regression. Identification requires parallel trends to hold for each treatment cohort. Since resource shares are estimated from the demand system rather than observed, using them as the DiD outcome without additional correction will result in a generated-regressor problem. I therefore run an end-to-end state-level cluster bootstrap that re-estimates both the demand and DiD stages in each replicate. The predicted-filer group assignments are held fixed at their full-sample cutpoints across replicates.

7 Results and Discussion

Table 2 reports the aggregated group-time average treatment effects on the treated (ATT) across five different sample specifications. The table reports bootstrap standard errors that combine the errors from the resource share estimation stage with the group-time ATT estimator through state-level resampling.

In the full sample, the reform is associated with a decrease in the wife's resource share of 0.044. However, the reform also leads to a decrease in the husband's resource share of 0.038. These adult declines correspond to an increase in the share per-child of 0.052 (or an increase of 0.082 for all children).

While only one of the 12 effect sizes is significant, the point estimates all follow the same pattern where the spouse who is the likelier filer experiences a smaller decline in their share than their partner. In the low-probability group, when the husband is the likelier filer the wife's share falls (-0.047) by more than the husband's (-0.025); when the wife is the likelier filer the change in shares for both partners flips such that the wife's share falls less (-0.023) than the husband's (-0.036). This pattern is not only repeated in the two high filer groups, but the gap between each partner's share is also wider than in the two low-filer groups. Finally, in the high probability group where the wife is more likely to file results show that the per-child share increased by a significant 0.081 points. This is consistent with an interpretation that a large increase to a wife's outside option increases the household's spending on children.

The rise in the child's share across all four groups of couples with children is unexpected and complicates interpretation. Consider that the reform not only lowers the cost of divorce, but it also has the secondary effect of increasing the overall probability of divorce occurring at a certain time in the future. As a result, as the probability of divorce increases, couples prepare for this possibility by smoothing consumption between the married and divorced states. Such a child investment channel is consistent with the results in Table 2 when paired together with the main bargaining channel. The observation that the child's share goes up more in the high probability groups is consistent with this evaluation.

Table 2: Effect of Reform by Children and Interacted Filing Probability

P(Unilateral Divorce)		Low		High	
Predicted Filer	Full Sample	Husband	Wife	Husband	Wife
<i>With Children</i>					
Wife's Share	−0.044* (0.0251)	−0.047 (0.0387)	−0.023 (0.0325)	−0.079 (0.0656)	−0.038 (0.0379)
Husband's Share	−0.038 (0.0215)	−0.025 (0.0311)	−0.036 (0.0414)	−0.005 (0.0684)	−0.063 (0.0340)
Child's Share	0.052* (0.0207)	0.044 (0.0312)	0.032 (0.0303)	0.074 (0.0985)	0.081* (0.0360)
<i>Without Children</i>					
Wife's Share	−0.006 (0.0337)	0.016 (0.2181)	− −	−0.004 (0.0338)	−0.207 (0.1970)
<i>With Children</i>					
N	42,147	11,450	17,657	1,816	11,224
Control Average					
Wife	0.434	0.406	0.406	0.472	0.468
Husband	0.389	0.378	0.375	0.404	0.402
Child	0.096	0.106	0.105	0.110	0.095
<i>Without Children</i>					
N	16,494	143	−	15,857	423
Control Average	0.568	0.559	0.581	0.568	0.593

Bootstrap standard errors from 960 replicates resampling states, with each replicate used to estimate resource shares with 3SLS and group-time ATTs to accommodate generated regressor as outcome. The child's share is divided by the number of children in the household.

* 95% percentile bootstrap confidence interval excludes zero.

In the full sample the pre-period point estimates for the wife's, husband's, and children's shares are much smaller than those after treatment.

8 Conclusion

This paper has three main findings. First, the reform reallocated household spending toward children such that the per-child share rose by 5.2 percentage points (on the full sample) while both adult shares fell (with the effect being absent among couples without children). Second, the direction of the adult reallocation follows the predicted filer. In every group of couples with children, the spouse more likely to file for unilateral divorce experienced the smaller decline in their own share. Third, both the gap in adult shares and the increase in the children's share are larger among couples with a higher predicted propensity to divorce which the model identifies as the households most likely to engage in bargaining. Though most of the effect size estimates are imprecise on their own, taken together this pattern across 12 estimates is unlikely to occur by chance and provides support for the LIC model.

The relative movement of the two adult shares suggests a bargaining channel where an adjustment to Pareto weights is triggered by the reform increasing the value of the outside option. However, the consistent shift toward children that is common to all groups with children and largest where divorce became most likely cannot be explained by bargaining alone. It is instead consistent with an investment response where as a result of an increase in the probability of divorce spending on children becomes more attractive. These results reframe evidence presented in Hoehn-Velasco & Penglase (2021b). While in that study the authors estimated a two-share system finding a modest decline in women's shares, recovering the children's share directly shows that the decline in the wife's share is due to a reallocation toward children rather than toward husbands.